AR
2EB

ALAMEDA RESEARCH
2: ELECTRIC BOOGALOO
LONG HORIZONS · STRUCTURAL SHIFTS · IMAGINATION

INTERNAL RESEARCH · MEMO · NOT INVESTMENT ADVICE · AI-ASSISTED

1 June 2026 · the qualitative

Toast, Inc.

$24.82

NYSE : TOST · Mature-Company DCF

$14.44B mkt cap · 582M sh · $1.353B cash, zero debt · Net cash +$1.35B ($1.353B cash, no debt); ~582M shares; SBC ~11% of recurring gross profit is the dilution to watch; Revenue $6.15B FY25 (+23%); GAAP op margin inflected to 4.7% (21% in Q1'26); FCF ~$0.6B; net income $342M (vs $19M FY24); ~$25, down ~29% YTD / ~40% TTM, near the 52-week low ($22.26-$49.66)

THE CENTRAL QUESTION

Did Toast's ~40% de-rate near the lows misprice a proven operating-leverage inflection — or is it priced for location growth and a payments take-rate that competition compresses?

Toast trades at ~$14.4B (~$24.82, down ~40% TTM, near the 52-week low) — ~2.1x EV/sales on $6.15B revenue growing ~23%, net cash, with a proven margin inflection (GAAP op margin -7% → 0.3% → 4.7%, and 21% last quarter). The bull is durable ~20% location growth (171k of 875k+ US restaurants) plus attach (Capital, marketing) lifting ARPU and take rate; the bear is payments take-rate compression and SMB cyclicality against Block/Square, Olo and Shift4. The modal case lands +24%, so the de-rate looks like it overshot a real inflection.

PROBABILITY-WEIGHTED EXPECTED VALUE

$31.14 expected fair value today
+25.5% vs spot $24.82

FORWARD COMPOUNDED VALUE

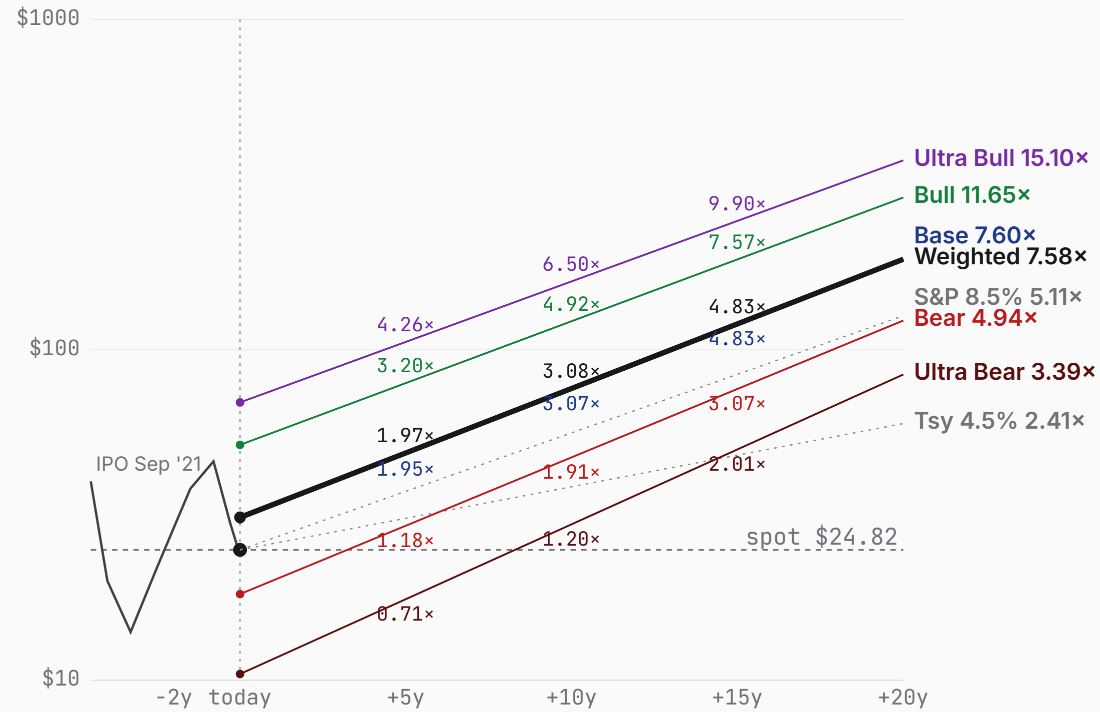
+5y	+10y	+15y	+20y
$48.78	$76.45	$119.90	$188.16
1.97× spot	3.08× spot	4.83× spot	7.58× spot

WEIGHTING RATIONALE

Ultra Bear 14% Take-rate compresses, growth stalls; ~$10 (-58%).
Bear 27% Locations grow but margins inflect slowly; ~$18 (-27%).
Base 34% Runway + leverage compound to ~15%; ~$31 (+24%).
Bull 17% Adds + take-rate + attach all compound; ~$52 (+108%).
Ultra Bull 8% Restaurant OS, platform FCF machine; ~$69 (+180%).

Bull (17%) + Ultra Bull (8%) together contribute $14.32 — 46% of the $31.14 expected value despite 25% combined probability. Today's spot ($24.82) sits 20% below the weighted expected; forward-weighted value crosses spot between +5y and +10y.

PRICE + PROJECTIONS · HISTORICAL THROUGH PROBABILITY-WEIGHTED FORWARD



ULTRA BEAR	BEAR	BASE	BULL	ULTRA BULL
$10.45	$18.24	$30.70	$51.59	$69.36
-57.9% vs spot	-26.5% vs spot	+23.7% vs spot	+107.9% vs spot	+179.5% vs spot
CAGR +4.6% WACC 11.0%	CAGR +8.6% WACC 10.0%	CAGR +12.8% WACC 9.5%	CAGR +15.7% WACC 9.0%	CAGR +18.7% WACC 8.8%
CAGR +4.6% Prob 14%	CAGR +8.6% Prob 27%	CAGR +12.8% Prob 34%	CAGR +15.7% Prob 17%	CAGR +18.7% Prob 8%
Take-rate compresses; growth stalls.	Locations grow; margins inflect slowly.	Runway + leverage compound to ~15%.	Adds + take-rate + attach all compound.	Restaurant OS; platform FCF machine.

AR 2EB | ALAMEDA RESEARCH 2: ELECTRIC BOOGALOO LONG HORIZONS · STRUCTURAL SHIFTS · IMAGINATION

Toast, Inc. scenario narratives

PROBABILITY WEIGHTS

Ultra Bear 14% Bear 27% Base 34% Bull 17% Ultra Bull 8% · Weighted expected $31.14 (+25.5% vs spot)

ULTRA BEAR $10.45

-57.9% vs spot

Probability 14%

Take-rate compresses; growth stalls.

WHY 14%

The genuine bear: payments is ~80% of revenue and the take rate is the contested battleground (Block/Square, Clover, Shift4), restaurants are cyclical SMBs, and the ~37x P/E left little safety margin before the de-rate. 14% on take-rate compression plus a soft cycle.

WHAT HAPPENS

Competition does its worst: Block/Square and Clover undercut payments pricing, the take rate on $51B+ of GPV compresses, and SMB churn rises through a restaurant-spending downturn. Location adds decelerate toward mid-single-digit, the margin inflection stalls near today's level, and revenue compounds only ~4-5%.

A payments-heavy platform whose take rate erodes while growth fades earns a low EV/sales (~1.0-1.5x) and a ~13x terminal FCF multiple → DCF ~$10 (-58%). Net cash sets a floor; a compressed, slowing fintech book can't support more.

BEAR $18.24

-26.5% vs spot

Probability 27%

Locations grow; margins inflect slowly.

WHY 27%

Share gains continue but competition caps the take rate and the cycle softens SMB demand, so margins improve modestly rather than re-rating. 27% as the plausible 'grows but converts slowly' path.

WHAT HAPPENS

Locations keep growing but adds slow to ~8-10% as the easy US share is taken and enterprise/international ramps gradually; the take rate holds but doesn't expand, and operating margin grinds up from the mid-single digits rather than stepping. Revenue compounds ~8% to ~$9B at a still-modest FCF margin.

DCF ~$18 (-27%) - a real franchise that grows but whose cash conversion lags its top line is worth below today's price; the market's discount is warranted if the inflection plateaus.

BASE $30.70

+23.7% vs spot

Probability 34%

Runway + leverage compound to ~15%.

WHY 34%

Requires the location runway to continue and the demonstrated operating leverage to keep flowing through - consistent with the -7%→21% margin trajectory and the attach flywheel, not a step-change. 34% as the central outcome.

WHAT HAPPENS

The modal path: locations keep compounding low-double-digit toward a long US runway (171k of 875k+) with enterprise/international adding, the take rate holds as attach (Capital, marketing, ToastIQ) lifts ARPU, and operating leverage carries GAAP op margin from ~5% toward ~15%. Revenue compounds ~13% to ~$11B.

DCF ~$31 (+24%) - the proven inflection continues at a moderating pace and the de-rated entry re-rates with the fundamentals; the modal case clears today's price, so the crash looks like it overshot a real inflection rather than correcting an excess.

BULL $51.59

+107.9% vs spot

Probability 17%

Adds + take-rate + attach all compound.

WHY 17%

Toast's switching-cost Power (the embedded POS/payments operating system) plus the attach flywheel and a long location runway make a compounding-take-rate outcome credible. ~17% weight on adds and take rate compounding together.

WHAT HAPPENS

Locations, take rate and attach compound together: ~20% location growth holds as enterprise/international scale (Q1 enterprise bookings already exceeded the prior-year customer count), Toast Capital and marketing/ads lift the take rate and ARPU, and operating margin inflects toward ~20% as SaaS (81% gross margin) carries the mix. Revenue compounds ~15% to ~$12.5B.

DCF ~$52 (+108%) - if the location runway, take rate and attach all compound, the de-rated entry re-rates hard with the fundamentals; this is the core of the bull.

ULTRA BULL $69.36

+179.5% vs spot

Probability 8%

Restaurant OS; platform FCF machine.

WHY 8%

Everything works - locations AND take rate AND attach AND international AND a data/network flywheel, the embedded-OS outcome. ~8%, the long-duration tail.

WHAT HAPPENS

The full second act: Toast becomes the default restaurant operating system, sustaining ~20%+ location growth deep into the US TAM and internationally, fintech attach (Capital, marketing, data/ToastIQ) compounds the take rate, and a nascent network/data effect widens the moat as operating margin marches toward ~23%. Revenue compounds ~18% to ~$14B and free cash flow scales.

DCF ~$69 (+180%) - the platform earns a software-and-payments compounder multiple; ~8% probability, the asymmetric upside the depressed entry is buying.

INTERNAL RESEARCH · MEMO · NOT INVESTMENT ADVICE · AI-ASSISTED

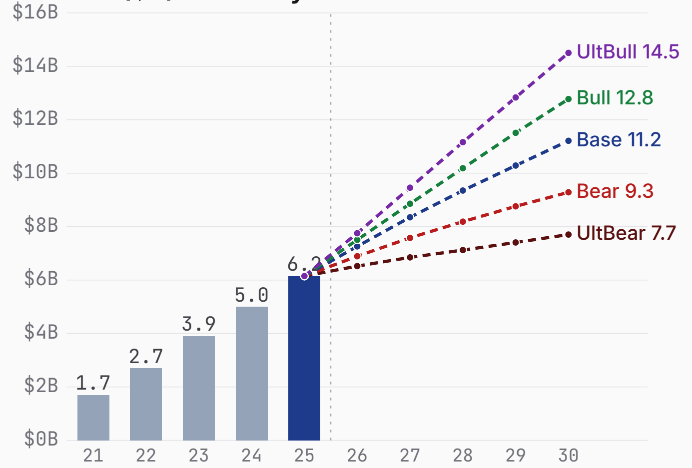
1 June 2026 · the snapshot

Toast, Inc. business snapshot

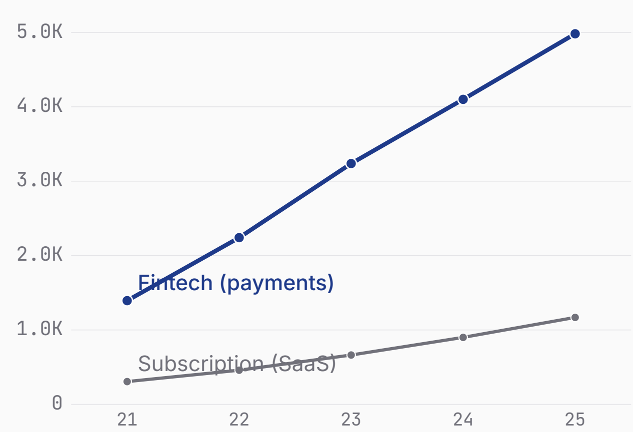
Bear $18.24 Base $30.70 Bull $51.59

FY21-FY25 history + FY26-FY30 scenario projections · fiscal years end late Dec · Q1 FY2026 results

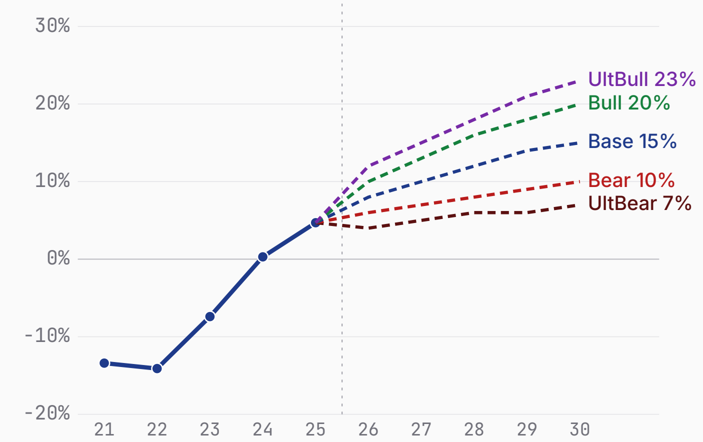
Revenue ($B) — history + scenarios to FY30



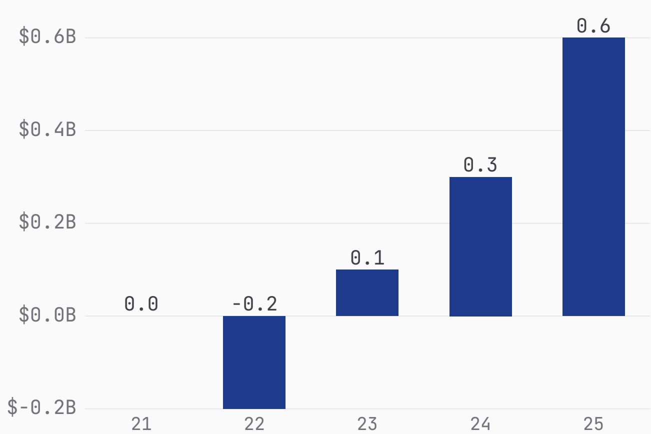
Revenue by segment ($M)



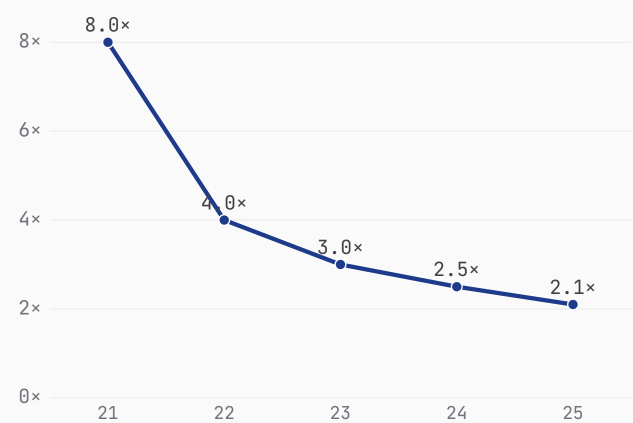
Op margin — history + scenarios



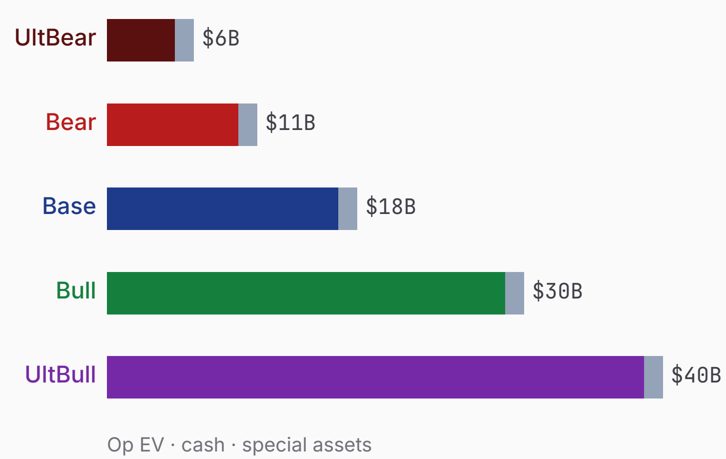
Free cash flow ($B) — history



EV / Revenue — historical



Equity build (Op EV + net cash)



Sources: SEC XBRL company facts (CIK 1650164), Toast Q1 FY2026 release (ARR $2.2B/+26%, GPV $51.3B/+22%, 171,000 live locations/+22%, GAAP op margin ~21%, SaaS gross margin 81%, fintech/payments ~80%+ of revenue). FCF margin is modeled on TOTAL (payments-heavy) revenue so it reads low (~6-11%) - read ex-SBC owner FCF on recurring gross profit. Gordon terminal at scenario WACC. EV/sales & EV/FCF vs Block/Square, Olo, Shift4, Fiserv (Clover).

Toast, Inc. 7 Powers · the moat, scored

Bear $18.24 Base $30.70 Bull $51.59

Arena. Restaurant commerce platforms (POS + payments + software) - Toast (171k live locations, $51B+ GPV, vertically-integrated hardware/SaaS/payments) vs Block/Square, Fiserv (Clover), Shift4, Olo, plus legacy POS (NCR/Aloha, Lightspeed); auditing an embedded switching-cost Power against payments take-rate competition.

POWER AUDIT
dominant-power durability: high

POWER AUDIT · 7 POWERS

Scale Economies
Real and growing: $51B+ GPV and 171k locations give payments/sourcing/R&D leverage that funded the margin inflection, but Block/Fiserv process far more volume overall.

Network Economies
Nascent - data/ToastIQ across the restaurant base and supplier/marketplace links could compound, but it is early and not yet a durable network effect.

Counter-Positioning
The vertically-integrated restaurant-specific stack (hardware + SaaS + payments) is awkward for horizontal processors (Block) and pure-SaaS (Olo) to copy without cannibalizing their model.

Switching Costs · thesis leans here
The dominant Power: once Toast is the restaurant's POS, payments, payroll, online-ordering and capital operating system, ripping it out mid-service is costly and risky - high retention, the moat the take rate rides on.

Branding
A strong restaurant-category brand and reference base, but brand alone doesn't set the payments take rate.

Cornered Resource
The installed base and restaurant operating data are valuable, but not a truly cornered resource.

Process Power
Demonstrated operating-leverage execution (-7% → 21% GAAP op margin, adj EBITDA doubled) and product velocity (Capital, marketing, ToastIQ); improving, not yet a structural process moat.

PEER SET

Block / Square — 10% gr · 10% mgn · ~3x EV/sales
Horizontal payments + Square for Restaurants; the primary payments take-rate competitor and pricing pressure.

Fiserv (Clover) — 7% gr · 30% mgn · ~14x P/E
Scaled processor with a fast-growing restaurant/SMB POS; the volume-and-distribution threat to the take rate.

Olo — 18% gr · 10% mgn · ~5x EV/sales
Restaurant ordering/digital SaaS; an attach/adjacency competitor and partner, asset-light vs Toast's payments model.

Shift4 — 25% gr · 20% mgn · ~18x P/E
Payments-led restaurant/hospitality processor; a direct take-rate rival expanding in the vertical.

THREAT VECTORS · FALSIFIERS

Switching Costs · Block/Square, Clover, Shift4 underpricing payments
`falsifier:` Payments take rate on GPV compresses as competitors undercut, eroding the ~80% fintech book even with retention holding.

Scale Economies · Fiserv/Block volume + distribution
`falsifier:` Location adds decelerate below ~10% as scaled processors win SMB share through bundling and price.

Network Economies · Olo / data-platform entrants
`falsifier:` ToastIQ/data and the attach flywheel fail to compound, leaving Toast a price-competed processor rather than an operating system.

COMPETITIVE READ

Toast's switching-cost Power is genuine and dominant - once it is the restaurant's POS, payments, payroll and ordering operating system, ripping it out mid-service is costly, which underpins high retention and the take rate the model rides on, supported by real scale (171k locations, $51B+ GPV). The Audit: switching_costs is durable (high), scale_economies funded a demonstrated margin inflection (-7% → 21% GAAP op margin), and a network/data leg (ToastIQ) is nascent; the live threat is payments take-rate competition from Block/Square, Clover and Shift4 against an ~80%-payments revenue base. The ~40% TTM de-rate met that proven inflection, and the modal DCF lands +24% - the distribution says the sell-off overshot a real operating-leverage story, gated on the take rate holding as Toast scales.

Toast, Inc. show your work

Bear $18.24 Base $30.70 Bull $51.59 · Weighted $31.14 (+25.5%)

ULTRA BEAR $10.45

ASSUMPTIONS

5y revenue CAGR (%)	+4.6
Year-5 op margin (%)	7.0
WACC (%)	11.0
Terminal growth (%)	3.0
5y revenue CAGR (%)	+4.6
Starting revenue ($B)	6.15
Scenario probability (%)	14

5-YEAR DCF · $B

FY	Rev	Margin	FCF	PV FCF
FY26	6.52	+4%	+0.26	+0.23
FY27	6.85	+5%	+0.34	+0.28
FY28	7.12	+6%	+0.36	+0.26
FY29	7.41	+6%	+0.44	+0.29
FY30	7.70	+7%	+0.46	+0.27

Σ PV explicit FCF	**+1.34**
+ PV terminal (g 3.0%)	3.53

EQUITY BUILD · $B & PER SHARE

Operating EV	$4.87B
+ Cash & investments	$1.35B
= Equity value	**$6.22B**
FY30 shares (M)	595
= Expected per share	**$10.45**

FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT

+5y	+10y	+15y	+20y
$17.61	$29.67	$50.00	$84.25
0.71×	1.20×	2.01×	3.39×

BEAR $18.24

ASSUMPTIONS

5y revenue CAGR (%)	+8.6
Year-5 op margin (%)	10.0
WACC (%)	10.0
Terminal growth (%)	3.5
5y revenue CAGR (%)	+8.6
Starting revenue ($B)	6.15
Scenario probability (%)	27

5-YEAR DCF · $B

FY	Rev	Margin	FCF	PV FCF
FY26	6.89	+6%	+0.34	+0.31
FY27	7.58	+7%	+0.46	+0.38
FY28	8.19	+8%	+0.57	+0.43
FY29	8.76	+9%	+0.70	+0.48
FY30	9.29	+10%	+0.74	+0.46

Σ PV explicit FCF	**+2.06**
+ PV terminal (g 3.5%)	7.35

EQUITY BUILD · $B & PER SHARE

Operating EV	$9.41B
+ Cash & investments	$1.35B
= Equity value	**$10.76B**
FY30 shares (M)	590
= Expected per share	**$18.24**

FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT

+5y	+10y	+15y	+20y
$29.38	$47.31	$76.19	$122.71
1.18×	1.91×	3.07×	4.94×

BASE $30.70

ASSUMPTIONS

5y revenue CAGR (%)	+12.8
Year-5 op margin (%)	15.0
WACC (%)	9.5
Terminal growth (%)	3.5
5y revenue CAGR (%)	+12.8
Starting revenue ($B)	6.15
Scenario probability (%)	34

5-YEAR DCF · $B

FY	Rev	Margin	FCF	PV FCF
FY26	7.26	+8%	+0.44	+0.40
FY27	8.35	+10%	+0.67	+0.56
FY28	9.35	+12%	+0.84	+0.64
FY29	10.29	+14%	+1.03	+0.72
FY30	11.21	+15%	+1.23	+0.78

Σ PV explicit FCF	**+3.10**
+ PV terminal (g 3.5%)	13.51

EQUITY BUILD · $B & PER SHARE

Operating EV	$16.61B
+ Cash & investments	$1.35B
= Equity value	**$17.96B**
FY30 shares (M)	585
= Expected per share	**$30.70**

FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT

+5y	+10y	+15y	+20y
$48.33	$76.08	$119.77	$188.55
1.95×	3.07×	4.83×	7.60×

BULL $51.59

ASSUMPTIONS

5y revenue CAGR (%)	+15.7
Year-5 op margin (%)	20.0
WACC (%)	9.0
Terminal growth (%)	4.0
5y revenue CAGR (%)	+15.7
Starting revenue ($B)	6.15
Scenario probability (%)	17

5-YEAR DCF · $B

FY	Rev	Margin	FCF	PV FCF
FY26	7.51	+10%	+0.60	+0.55
FY27	8.86	+13%	+0.89	+0.75
FY28	10.19	+16%	+1.12	+0.87
FY29	11.51	+18%	+1.50	+1.06
FY30	12.78	+20%	+1.79	+1.16

Σ PV explicit FCF	**+4.39**
+ PV terminal (g 4.0%)	24.18

EQUITY BUILD · $B & PER SHARE

Operating EV	$28.57B
+ Cash & investments	$1.35B
= Equity value	**$29.92B**
FY30 shares (M)	580
= Expected per share	**$51.59**

FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT

+5y	+10y	+15y	+20y
$79.38	$122.13	$187.92	$289.13
3.20×	4.92×	7.57×	11.65×

ULTRA BULL $69.36

ASSUMPTIONS

5y revenue CAGR (%)	+18.7
Year-5 op margin (%)	23.0
WACC (%)	8.8
Terminal growth (%)	4.0
5y revenue CAGR (%)	+18.7
Starting revenue ($B)	6.15
Scenario probability (%)	8

5-YEAR DCF · $B

FY	Rev	Margin	FCF	PV FCF
FY26	7.75	+12%	+0.70	+0.64
FY27	9.46	+15%	+1.04	+0.88
FY28	11.16	+18%	+1.45	+1.13
FY29	12.84	+21%	+1.93	+1.37
FY30	14.50	+23%	+2.32	+1.52

Σ PV explicit FCF	**+5.54**
+ PV terminal (g 4.0%)	32.99

EQUITY BUILD · $B & PER SHARE

Operating EV	$38.53B
+ Cash & investments	$1.35B
= Equity value	**$39.88B**
FY30 shares (M)	575
= Expected per share	**$69.36**

FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT

+5y	+10y	+15y	+20y
$105.74	$161.21	$245.78	$374.70
4.26×	6.50×	9.90×	15.10×

Toast, Inc. supporting analysis · disclaimers · glossary

Bear $18.24 Base $30.70 Bull $51.59

PUSHBACK · WHY THE BASE CASE IS TOO HARSH

1 **The de-rate met a proven inflection, not a story.**
GAAP op margin went -7% → 0.3% → 4.7% and adj EBITDA doubled FY25 - the leverage is real, so the ~40% drop re-priced a real business.

2 **Payments is ~80% of revenue, so FCF margin reads low.**
On TOTAL payments-heavy revenue FCF margin looks ~6-11%; read ex-SBC owner FCF on recurring gross profit - the take rate is the real lever.

3 **The take rate is the whole question.**
Payments competition (Block/Square, Clover, Shift4) is the live threat to the ~80% fintech book; attach lifts take rate as Toast scales.

4 **Location runway is long but the easy share thins.**
171k of 875k+ US restaurants leaves a long runway, but US SMB adds get harder; enterprise/international is the next leg the bull needs.

5 **Net cash, p_fail ~0.**
$1.35B cash, no debt, GAAP-profitable (net income $342M FY25) - no solvency risk; the downside is take-rate/multiple, not survival.

FALSIFICATION TRIGGERS

Bull validation

location adds hold ~20% (enterprise/international ramping) · payments take rate stable-to-up as attach scales (Capital, marketing, ToastIQ) · GAAP op margin sustains the inflection toward the teens · ARR growth stays >=20%

Bear validation

location adds decelerate below ~10% · payments take rate compresses as Block/Clover/Shift4 undercut · GAAP op margin stalls or reverses · SMB churn rises through a restaurant-spending downturn

Reframe needed

if the take rate compresses structurally or location growth falls below ~10% without enterprise/international offsetting, the runway shortens - re-rate the terminal toward a low-growth, price-competed payments processor multiple

DISCLAIMERS · PLEASE READ BEFORE USING THIS DOCUMENT

GLOSSARY · CONCEPTS REFERENCED IN THE NARRATIVE

GPV — Gross Payment Volume - total payments processed across Toast restaurants (~$51.3B/quarter, +22%); the base the payments take rate is applied to, and the swing-factor's denominator.

Take rate — Fintech (payments) revenue as a fraction of GPV; ~80%+ of total revenue rides on it, so its durability against Block/Square/Clover competition is the central question.

ARR — Annualized recurring revenue (~$2.2B, +26%) - the SaaS subscription book (81% gross margin); the higher-margin leg whose mix-up is the margin-inflection lever.

Attach — Add-on products beyond core POS/payments - Toast Capital (lending), marketing/ads, ToastIQ - that lift ARPU and the effective take rate per location.

FCF margin — Free cash flow / revenue; modeled on TOTAL payments-heavy revenue so it reads ~6-11% - read ex-SBC owner FCF on recurring gross profit net of ~11% SBC dilution; the mature-DCF swing factor.